



EAST AFRICAN COMMUNITY

MEETING TO VALIDATE THE EAC ASSEMBLY SCHEME REGULATIONS, 2022

8th to 12th March, 2022

MEETING REPORT

PARK INN HOTEL

NAIROBI

REPUBLIC OF KENYA

**EAC SECRETARIAT
Arusha, Tanzania
March, 2022**

1.0 OPENING OF THE MEETING

1.1 Introduction

The EAC Meeting to consider a regulatory framework for the EAC Assembly Scheme was convened, in accordance with the EAC Calendar of activities for the period of January - June 2022. The purpose of the meeting was to validate the Draft Regulatory Framework for the Assembly and Manufacturing of parts for Assembly in the region. The meeting was attended by experts and private sector representatives from the Partner States and officials from the EAC. The Republic of Rwanda attended the meeting virtually. The list of participants is hereto attached as **Annex I.**

1.2 Constitution of the Bureau

Mr. George Makateto from the Ministry of Industry, Trade and Enterprise Development, Republic of Kenya chaired the meeting while Twagirayezu Onesphore from the Ministry of EAC Affairs, Youth, Sports and Culture, Republic of Burundi, was the Rapporteur.

1.3 Adoption of the Agenda

The agenda was adopted and is hereto attached as **Annex II.**

1.4 Opening Remarks by the Chairperson

The Chairperson welcomed the delegates to the meeting and thanked the Secretariat for convening the meeting. He highlighted the importance of having the Regulatory Framework in place to promote Automotive sector which has the potential to enhance economic growth in the region. He underscored the need for the region to promote localization of certain parts used in the assembly / manufacturing sector to enhance value addition within EAC Partner States. He further urged experts from the sector to share their experience which can be accommodated in the draft Regulatory Framework.

He wished the meeting fruitful deliberations.

1.5 Opening Remarks by EAC Secretariat

On behalf of the EAC Secretary General, Ms. Flavia Busingye, Ag. Director Customs, welcomed delegates to the meeting. She informed the meeting that the draft regulations were informed by the different studies undertaken to ascertain availability of items that can be locally manufactured within the region. She highlighted the challenges affecting the sector in regard to local sourcing of raw materials, inadequate skilled labour, incentives for localization, technology on changing designs, investment required for localization and low volumes to satisfy demand. She urged participants specifically industry practitioners to ensure that the sector is well prepared to satisfy the demand of consumers. She noted the

importance of the regulatory framework in promoting the Assembly and manufacturing of parts to support the assembly and underscored the need for the region to finalize the development of the Regulatory Framework.

She was optimistic that the meeting will enrich the draft regulations for adoption.

2.0 OVERVIEW ON THE PURPOSE OF THE REGULATIONS

The Secretariat provided an overview on the background and the purpose of the Regulations. It was submitted that the Summit identified key priority sectors namely motor vehicles, iron & steel, chemicals, hides, skin and leather and textiles. In implementing this decision, Partner States embarked in promotion of value addition activities in order to spur industrialization and development.

The Sectoral Council on Trade, Industries, Finance and Investment (SCTIFI) has directed the Secretariat and Partner States to undertake a comprehensive regional study to ascertain the production and available capacities on the list of items for exclusion from the CKD kits for vehicles assembly and bodybuilding materials of trailers and for motorcycle assembly under duty remission.

In implementing the directives by the SCTIFI, Secretariat undertook verifications missions in April and May, 2019 in the motor vehicles sector and motorcycle subsector to ascertain availability and production capacity of items for motor vehicles assembly and bodybuilding materials of trailers and parts of Motorcycles.

It was further submitted that development of the Regulations intends to ensure that assemblers especially of motor vehicles and motor cycles source locally some parts which are manufactured within the region. Also it intends to promote regional value chains where one Partner States has a more comparative advantage.

The draft Regulations has schedules for motor vehicles and motor cycles sub sectors and the region will progressively develop schedules for other sectors.

3.0 CONSIDERATION OF THE DRAFT EAC ASSEMBLY SCHEME REGULATIONS 2022

The meeting considered and proposed changes which were incorporated in the EAC Assembly Scheme Regulations, 2022. The validated regulations is hereto attached as **Annex III**.

4.0 OBSERVATIONS

The meeting made the following observations:

- (i) The concerns on inadequate supply of locally manufactured parts required for assembly shall be catered for by the existence of local manufacturers of parts who supply assemblers of Original Equipment Manufacturers e.g. Isuzu, FAW, Toyota, Hino, Fuso;
- (ii) Operations by assemblers are at different levels and therefore there is a need to consider those at CKDs / SKDs. Vehicles assembled from SKDs do not enjoy preferential market access as they do not meet origin criterion as provided by the EAC Rules of Origin, 2015;
- (iii) Reiterated the need to establish a regional body to represent the interests of the sector and therefore urged the sector to engage and establish a regional automotive Council to regulate the sector;
- (iv) There is need to provide time for Partner States with nascent industries to start implementing the exclusion list to build capacity; and
- (v) There is need for an engagement between assemblers and part manufacturers to agree on modalities for local sourcing of parts such as;
 - (a) The sector to develop a road map for local content development for assembly and aftersales with measurable milestones. The maximum period for local content adoption should be 5 years;
 - (b) The sector to identify all assemblers, parts manufacturers, bus body builders and trailer manufacturers within each of the Partner State and establish the products manufactured and / or assembled and assess the capability of each manufacturer and assembler and conduct a verification exercise to evaluate each manufacturer;
 - (c) As the minimum target value of local content is 30%; and
 - (d) The sector to develop a framework to upskill the local content manufacturers to meet the requirements of international OEM's.

5.0 POLICY RECOMMENDATIONS

The meeting proposed to Partner States to consider the following policy interventions to promote value addition (localization) within the region:

- (i) Develop different duty structures for CKD Level 1,2,3 and 4 duty structures within the CKD levels where local content is not used the maximum duty shall be applied;
- (ii) Develop a regional note for defining “unassembled” in the EAC CET;
- (iii) Undertake an analysis to inform putting imports of unassembled / CKD under the Duty Remission Scheme;
- (iv) Develop a framework for exemption to import parts for new models which cannot be manufactured immediately in the region;
- (v) Adopt a buy EAC build EAC agenda for Government procurement in each member state and enforce the requirement of the Public Procurement and Asset Disposal Act;

- (vi) Develop tax incentives including for inputs for the automotive sector to encourage OEM's to globally source components from East Africa by offering tax rebates or incentives such as the TRIMS model;
- (vii) Create a roadmap for the skills and training needed to address skills gaps in the automotive sector in the region;
- (viii) Create an incentive / financing structure for research and development within the automotive industry; and
- (ix) EAC Governments should put up measures to encourage Financial institutions to work on financial access for SMEs and individuals who want to purchase locally produced vehicles.

6.0 WAY FORWARD

The meeting agreed that:

- (i) Partner States shall undertake consultations with key stakeholders on the validated regulations and submit comments to the Secretariat by 20th April, 2022;
- (ii) Partner States to develop and agree on the road map and implementation plan for localization of parts used in assembly of motor vehicles by 30th May, 2022;
- (iii) The Secretariat consolidates comments received from Partner States and circulate to Partner States for consideration by 30th April, 2022.

7.0 RECOMMENDATIONS

The Experts recommend to the Committee on Customs to:

- (a) Take note that Partner States will submit their comments to the draft regulations by 20th April, 2022 before consideration by SCTIFI; and**
- (b) Consider and recommend to Sectoral Council on Trade, Industries, Finance and Investment to adopt the validated EAC Assembly Scheme Regulations, 2022.**

There being no other business, the meeting was adjourned at 17:00 hrs

Signed this 12th day of March, 2022 by the respective Heads of Delegation as below:

**Ms. Melcent Nely
Okwach**

**Mr. Elie
Gahungu**

**Dr. Yuda
Lyangalo
Benjamin**

**Ms. Faridah
Bahemuka
Murungyi**

**Doreen
Ntawebasa
Hategekimana**

**Mr. Kuot
Madhor Kuot**

**Kenya Revenue
Authority**

**Ministry of Trade,
Transport,
Industry and
Tourism**

**Ministry of
Investment,
Industries &
Trade**

**Ministry of
Finance, Planning
and & Economic
Development**

**Ministry of trade
and industry**

**Ministry of Trade
and Industry**



**Republic of
Kenya**



**Republic of
Burundi**



**United
Republic of
Tanzania**



**Republic of
Uganda**



**Republic of
Rwanda**



**Republic of
South Sudan**